absorbing the implications of Table I.1, you will appreciate the joke that has been circulating among actuaries in the pension industry that "General Motors (aka Generous Motors) is not really a car manufacturer, but a pension fund and health-care provider for its retirees." Yet, this is no laughing matter. In 2006, GM paid more than $30 billion in pension and health-care benefits. That's what happens when you have more than three times as many retirees as active workers. Now do you understand why GM froze its plan?

Notice from Table I.2 that the ratio of the number of retirees per 100 workers is higher for the U.S. population as a whole than it is for Toyota, Honda, and Nissan (refer to Table I.1), whereas the ratio is greatly reversed in comparison to Ford, Chrysler, and General Motors. Note how the number of retirees per 100 workers is projected to creep up as we move into the middle part of the century. Who will pay for these retirement benefits? How high will these ratios get?

**TABLE I.2 Number of U.S. Retirees Per 100 Workers**

| Year | Number |
|---|---|
| 1950 | 6 |
| 1970 | 27 |
| 1990 | 30 |
| 2010 (projected) | 32 |
| 2030 (projected) | 46 |

Data Source: Social Security Administration, "The 2007 Annual Report of the Board of Trustees of the Federal Old-Age and Survivors Insurance and Federal Disability Insurance Trust Funds," p. 48.

The editorial displayed in Figure I.2 of the *Financial Times* newspaper sums up the situation quite well.

Consequently, in the last 10 to 15 years, the U.S. has experienced a remarkable shift in the way retirement is being saved for and financed. A mere 15 years ago, the total percentage of "retirement assets" (broadly defined) sitting within traditional defined benefit (DB) plans was close to 25%, similar to the percentage in defined contribution (DC) plans. Yet, today, the percentage that is comprised of DB plans is less than 15%. As you can see from Figure I.3, the direction of the trend-line is quite clear.